AAVIN
PRIVATE EQUITY

1245 First Avenue SE Cedar Rapids, IA 52402
Main 319.247.1072

March 3, 2017

Re: **AAVIN Equity Partners I, LP Audited Financials and Portfolio Valuations for the year ended December 31, 2016**

Attached for your review are the audited financials for AAVIN Equity Partners I, LP's (the Fund) for the year ended December 31, 2016. Also included is a valuation for Archon Woodworks, Inc.

The exits of Coolibar, America's PowerSports and escrow proceeds from Celleration enabled us to repay all leverage and interest due to the SBA. Now that SBA leverage has fully been repaid we are working on final windup of the Fund.

As indicated in the July 2016 distribution letter we are focusing our efforts on winding up the Fund. The largest asset in the Fund is currently an escrow from the exit of Coolibar which is scheduled to be released on two different dates, Jan.1, 2018, and Dec. 31, 2018. These escrows are currently valued at $309,225. In addition, we have a nominal number of shares in Alliqua from the sale of Celleration and will liquidate those as appropriate. Celleration also has outstanding earn out provisions that may provide additional value to the Fund, however they are subject to claims and performance milestones, therefore we have it currently valued at $0.

The following is a projected schedule of estimated exit proceeds for the remaining portfolio through 2018:

Company	2017	2018	Total
Coolibar Escrows		$ 309,225	$ 309,225
Alliqua Shares	$ 16,205		$ 16,205
Archon Woodworks (fka Hoffco)			$ -
	$ 16,205	$ 309,225	$ 325,430

Portfolio Update:

Archon Woodworks, Inc.

It is not currently expected that any proceeds will be received from the Company due to declining performance. In December 2016, the Fund surrendered all shares other than the Series C Preferred, so that a taxable loss could be taken on the surrendered shares in 2016.

Your 2016 K-1 for the Fund will be in the mail next week.

Our annual Partner Conference Call has been scheduled for Thursday, April 20th, 2017 at 1:00 pm CT. The call-in number is 319.382.2772. We look forward to hearing from you.

If you have questions you wish to discuss, please contact me.

Regards,

Jim

James D. Thorp, Managing Partner
jthorp@aavin.com
Direct 319.200.4354 |

AAVIN EQUITY PARTNERS I, LP

AUDITED FINANCIAL STATEMENTS
AND SUPPLEMENTARY INFORMATION

YEARS ENDED DECEMBER 31, 2016 and 2015

with

INDEPENDENT AUDITOR'S REPORT

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INDEPENDENT AUDITOR'S REPORT

The General Partner
AAVIN Equity Partners I, LP
Cedar Rapids, Iowa

Report on the Financial Statements

We have audited the accompanying financial statements of AAVIN Equity Partners I, LP (a partnership), which comprise the statements of financial position as of December 31, 2016 and 2015 and the related statements of operations realized, cash flows, and partners' capital for the years then ended included in SBA Form 468, and the related notes to the financial statements.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the basis of accounting described in Note 1; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the financial position of AAVIN Equity Partners I, LP as of December 31, 2016 and 2015, and the results of its operations and its cash flows for the years then ended in accordance with the financial reporting provisions of the Small Business Administration ("SBA") as described in Note 1.

INDEPENDENT AUDITOR'S REPORT, CONTINUED

Basis of Accounting

We draw attention to Note 1 of the financial statements, which describes the basis of accounting. The financial statements have been prepared in conformity with the accounting practices prescribed or permitted by the SBA, which is a comprehensive basis of accounting other than accounting principles generally accepted in the United States of America, to comply with the reporting requirements of the SBA. The investment securities included in the financial statements have been valued by the General Partner using valuation criteria applicable to the licensee. These criteria were established in accordance with section 310(d)(2) of the Small Business Investment Act of 1958, as amended. Accordingly, the accompanying financial statements are not intended to be a presentation in conformity with accounting principles generally accepted in the United States of America. At December 31, 2016 and 2015, such investment securities have been valued at $325,429 (41% of total assets) and $8,262,493 (88% of total assets), respectively, whose values have been estimated by the General Partner in the absence of readily ascertainable market values. We have reviewed the procedures used by the General Partner in preparing the valuations of investment securities and have inspected the underlying documentation and, in the circumstances, we believe the procedures are reasonable and the documentation appropriate. However, in the case of those securities with no readily ascertainable market values, because of the inherent uncertainty of the valuation, the General Partner's estimate of values may differ significantly from the value that would have been used had a ready market existed for the securities and the differences could be material.

Restriction on Use

This report is intended solely for the information and use of the management of AAVIN Equity Partners I, LP and the SBA and is not intended to be and should not be used by anyone other than those specified parties.

Report on Supplementary Information

Our audits were conducted for the purpose of forming an opinion on the financial statements as a whole. The schedules of investments are presented for purposes of additional analysis and are not a required part of the financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the financial statements. The information has been subjected to the auditing procedures applied in the audit of the financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the financial statements or to the financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated in all material respects in relation to the financial statements as a whole.

Bohr, Dahm, Greif & Associates, P.C.

Cedar Rapids, Iowa
February 16, 2017

AAVIN EQUITY PARTNERS I, LP
STATEMENTS OF FINANCIAL POSITION
December 31, 2016 and 2015

	2016	2015
Assets:		
Investments, at value determined by General Partner; cost of $118,962 and $6,406,576 (Note 1)	$ 325,429	$ 8,262,493
Cash and cash equivalents	395,979	1,060,294
Restricted cash	75,555	75,441
Total assets	$ 796,963	$ 9,398,228
Liabilities:		
SBA participating securities (Note 3)	$ -	$ 4,058,547
SBA prioritized payments payable (Note 3)	-	299,412
Due to affiliate (Note 4)	191,091	242,765
Total liabilities	191,091	4,600,724
Partners' capital:		
Contributed capital	313,990	2,403,102
Retained earnings	85,415	538,485
Unrealized appreciation of investments	206,467	1,855,917
Total partners' capital	605,872	4,797,504
Total liabilities and partners' capital	$ 796,963	$ 9,398,228

See notes to financial statements.

AAVIN EQUITY PARTNERS I, LP
STATEMENTS OF OPERATIONS REALIZED
Years ended December 31, 2016 and 2015

	2016	2015
Investment income:		
Dividend income	$ -	$ 95,886
Interest income	114	113
Other income	-	10,982
Total investment income	114	106,981
Expenses:		
Earned prioritized payments (Note 3)	174,725	299,412
Investment management fee, net (Note 4)	198,326	257,626
Insurance	1,056	1,042
Taxes	-	507
Legal fees	237	4,091
Audit and examination fees	19,965	19,388
Investment advisors fees	1,000	1,000
Bank service charge	45	36
Dues	1,641	1,230
Communications	15	427
Supplies	-	304
Travel	363	440
Other	398	1,645
Total expenses	397,771	587,148
Net investment loss	(397,657)	(480,167)
Net realized gain (loss) on investments	1,122,203	(369,784)
Net income (loss)	$ 724,546	$ (849,951)

See notes to financial statements.

AAVIN EQUITY PARTNERS I, LP
STATEMENTS OF CASH FLOWS
Years ended December 31, 2016 and 2015

	2016	2015
Cash flows from operating activities		
Dividends received from portfolio concerns	$ -	$ 95,886
Interest on cash equivalents and invested idle funds	114	113
Investment advisory and management fees	(250,000)	(15,000)
Other operating cash disbursements	(24,720)	(30,110)
Net cash provided by (used in) operating activities	(274,606)	50,889
Cash flows from investing activities		
Proceeds from sale of investments	7,409,817	673,563
Net cash provided by investing activities	7,409,817	673,563
Cash flows from financing activities		
Redemption of participating securities	(4,058,547)	-
Distributions paid to partners	(3,266,728)	-
Payments for prioritized payments, charges, and adjustments	(474,137)	(75,674)
Net cash used in financing activities	(7,799,412)	(75,674)
Net increase (decrease) in cash and cash equivalents	(664,201)	648,778
Cash and cash equivalents, beginning of year	1,135,735	486,957
Cash and cash equivalents, end of year	$ 471,534	$ 1,135,735
Reconciliation of net income (loss) to net cash provided by (used in) operating activities		
Net income (loss)	$ 724,546	$ (849,951)
Adjustments to reconcile net income (loss) to net cash provided by (used in) operating activities		
Earned prioritized payments, charges, and adjustments	174,725	299,412
Realized (gains) losses on sale of investments	(1,122,203)	369,784
Effects of changes in operating assets and liabilities:		
Decrease in other liabilities	-	(10,982)
Increase (decrease) in due to affiliate	(51,674)	242,626
Net cash provided by (used in) operating activities	$ (274,606)	$ 50,889

See notes to financial statements.

AAVIN EQUITY PARTNERS I, LP
STATEMENTS OF PARTNERS' CAPITAL
Years ended December 31, 2016 and 2015

	Contributed Capital					Total
	General Partner	Limited Partners	Total	Retained Earnings	Unrealized Appreciation	Partners' Capital
Balance at December 31, 2014	$ (1,097,148)	$ 3,500,250	$ 2,403,102	$ 1,388,436	$ 1,670,791	$ 5,462,329
Net loss	-	-	-	(849,951)	-	(849,951)
Net change in unrealized appreciation in investments	-	-	-	-	185,126	185,126
Balance at December 31, 2015	(1,097,148)	3,500,250	2,403,102	538,485	1,855,917	4,797,504
Distributions	(434,533)	(1,654,579)	(2,089,112)	(1,177,616)	-	(3,266,728)
Net income	-	-	-	724,546	-	724,546
Net change in unrealized appreciation in investments	-	-	-	-	(1,649,450)	(1,649,450)
Balance at December 31, 2016	$ (1,531,681)	$ 1,845,671	$ 313,990	$ 85,415	$ 206,467	$ 605,872

See notes to financial statements.

1. Nature of business and significant accounting policies

Organization and nature of business

AAVIN Equity Partners I, LP (the "Partnership") is a limited partnership organized under the laws of the State of Delaware to operate as a venture capital company to provide equity capital and loans to small market growth and later stage businesses throughout the United States. The Partnership obtained a license as a Small Business Investment Company ("SBIC") from the U.S. Small Business Administration ("SBA") and commenced operations on September 21, 2000. The Partnership operates solely as an SBIC licensed by the SBA pursuant to the Small Business Investment Act of 1958, as amended, and under the rules and regulations promulgated thereunder by the SBA. As of December 31, 2016 and 2015, the Partnership consists of 32 limited partners and a General Partner, AAVIN, LLC. As of December 31, 2015, the Partnership had an additional preferred limited partner, the SBA. The Partnership's fiscal year ends December 31. Significant accounting policies followed by the Partnership are presented below.

The Partnership executed the Agreement of Limited Partnership ("Agreement") as of September 21, 2000. Under the Agreement, the Partnership shall continue until the withdrawal, dissolution or bankruptcy of the General Partner or the later of: (1) January 21, 2010, (2) two years after the SBA has withdrawn from the Partnership and all outstanding leverage has matured and all amounts due to the SBA have been paid, or (3) the election of the General Partner and a majority of the private limited partners to dissolve the Partnership. The life of the Partnership may be extended for two additional two-year periods as determined by the General Partner.

Basis of accounting

The accompanying financial statements have been prepared on a basis of accounting prescribed by the SBA which is a basis of accounting other than accounting principles generally accepted in the United States of America ("U.S. GAAP"). Some of the key considerations are as follows:

The investment securities included in the financial statements have been valued by the General Partner using the valuation criteria applicable to the licensee. This criteria was established in accordance with Section 310(d)(2) of the Small Business Investment Act of 1958, as amended. The reported value used for equity securities in the Statement of Financial Position (also known as "SBA Guideline Value"), must be determined in accordance with a licensee's valuation policy and is reported by the SBIC as of a measurement date in accordance with SBIC 13 CFR 107.503. Reported value may differ in certain instances from fair value, which is the measurement of value that would comply with U.S. GAAP. ASC 820-10, *Fair Value Measurements*, defines fair value in accordance with U.S. GAAP as the "price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the

1. Nature of business and significant accounting policies, continued

Basis of accounting, continued

measurement date." The primary differences between the two measurements are that in the case of values determined in accordance with SBA Guideline Value (i) an increase in value above cost may only be reflected in reported value if it has a specific permitted basis under the licensee's valuation policy; (ii) liquidity (or "blockage") discounts, which are prohibited under U.S. GAAP, must be considered for inclusion in reported value; (iii) the reported value of interest-bearing securities is not adjusted for changes in interest rates. It is expected that reported value will not exceed, but may be less than, "fair" value in accordance with GAAP. The differences between reported values and U.S. GAAP reported fair values may be significant.

There may also be other differences between SBA-basis financial statements and U.S. GAAP-basis financial statements including, but not limited to, the treatment of unrealized gains and losses, presentation of financial highlights, and treatment of participating securities, prioritized payments and SBA profit participation.

Investments

Investment securities of the Partnership are included in the Statements of Financial Position at SBA Guideline Value, as described previously. Investments for which no active public market exists are valued at SBA Guideline Value as determined in good faith by the General Partner and approved by the investment committee of the General Partner, based on all relevant factors. These investments are carried at cost until events subsequent to the date of investment indicate that cost is not the best measure of SBA Guideline Value. If such events have occurred, the value is determined by taking into consideration the cost of the securities; developments concerning the company to which the securities relate subsequent to the acquisition of the securities; any financial statements and projections of the company provided to the General Partner; and, such other factor or factors as the General Partner may deem relevant. Among the factors considered in determining the reported value of investments are the cost of the investment; developments subsequent to the acquisition of the investment, including recent financing transactions; the financial condition and operating results of the portfolio investment; market values for similar securities; the long-term potential of the business of the portfolio investment; overall market conditions and other factors generally pertinent to the valuation of investments.

In the valuation process, the General Partner uses financial information received monthly, quarterly, and annually from the portfolio companies which includes both audited and unaudited financial statements. This information is used to determine financial condition, performance, and valuation of the portfolio investments.

The value of certain investments may also be adjusted to equate to a subsequent significant equity financing that includes a sophisticated, unrelated new investor. An investment may be valued at less than cost if the investee shows a significant fundamental deterioration in financial position or operating results or has defaulted under the terms of its agreement with the Partnership.

1. Nature of business and significant accounting policies, continued

Investments, continued

Investments in publicly listed stocks are valued at SBA Guideline Value. These investments are valued by taking the average of the closing price for the valuation date and the preceding two days.

Securities whose values have been estimated by the General Partner, and approved by the investment committee, of $325,429 represent 41% of total assets at December 31, 2016. Securities whose values had been estimated by the General Partner, and approved by the investment committee, of $8,262,493 represented 88% of total assets at December 31, 2015. The Partnership did not fund any follow-on financings during 2016 or 2015.

During 2016, Olivarius Hospitality California, LLC ("OHC"), in a merger transaction, acquired all the outstanding stock of Coolibar, Inc., one of the Partnership's portfolio investments. Cash proceeds received by the Partnership for all remaining outstanding shares totaled $5,064,363. Terms of the merger and acquisition required additional cash to be held in escrow for a working capital adjustment and for administrative expenses and payment of indemnification claims until 2018. The working capital adjustment escrow account was released on October 7, 2016, with the Partnership receiving their pro rata interest totaling $79,499. As a result of these transactions the Partnership's net realized gain on the sale of this investment in 2016 was $2,190,538. The indemnification escrow account and administrative expense account have scheduled release dates of January 1, 2018 and December 31, 2018, respectively, subject to claims made by OHC under the agreement. The Partnership's share of these escrow funds is approximately $638,000; however, the Partnership calculated a reserve of approximately $329,000 and recorded a net realizable value of approximately $309,000 which is included in investments in the statements of financial position at December 31, 2016. The reserve was calculated using discount rates based on the Partnership's assumptions of the likelihood of the receipt of future funds.

During 2016, America's Powersports, Inc. ("APS") one of the Partnership's portfolio investments, executed an Agreement and Plan of Merger with CMG Powersports, Inc., a Delaware corporation ("Acquiror"), CMG Powersports Merger Sub, Inc., a Delaware corporation and wholly-owned subsidiary of Acquiror, and Wind Point Partners III, L.P., a Delaware limited partnership, as agent for the stockholders of APS. As a result of this agreement, the Partnership's outstanding Preferred B shares of APS were cancelled and redeemed for cash at their par value of $1,000 per share totaling $2,175,403. The Partnership realized a loss on redemption of $169,222.

1. Nature of business and significant accounting policies, continued

Investments, continued

During 2016, it was determined by the Partnership that based on liquidation preferences and continued operational issues experienced by Archon Woodworks, Inc. ("Archon") that all series A preferred stock, series B preferred stock and common stock of Archon was worthless and as a result all of these shares were surrendered on December 21, 2016. Total realized loss on surrender of these shares totaled $1,008,628. In addition, shares of series C preferred stock were deemed to have no value, but were retained by the Partnership and written down to a value of $-0-. These shares were retained as they have first liquidation preference and are the most likely to realize any value.

During 2015, the Partnership sold its investment in Celleration, Inc. and received $326,952 in cash along with 65,623 shares of stock in the acquiring company, Alliqua BioMedical ("Alliqua"). At the time of sale, this stock was valued at $314,990. The Partnership realized a loss on the sale of its interest in Celleration, Inc. of $401,405. The Partnership subsequently sold all the shares of Alliqua stock received in the original transaction for gross proceeds of $346,611 during 2015. The Partnership realized a gain of $31,621 from the sale of the Alliqua stock that is included in the net realized loss on investments in the statements of operations realized for the year ended December 31, 2015. As a result of these transactions the Partnership's net realized loss on the sale of this investment was $369,784. Terms of the sale of Celleration, Inc. required cash and additional shares of Alliqua stock to be held in escrow for payment of indemnification claims for a period of 18 months following the close of the transaction. The Partnership did not include its share of the escrow account value in the consideration received in the transaction at December 31, 2015, as it was uncertain whether any of the funds would be received. During 2016, the Partnership received earn out payments and cash held in escrow totaling $90,552, additionally, the Partnership received 26,652 shares of Alliqua stock valued at $18,963 at the time of receipt. As a result, the Partnership realized a gain on subsequent receipts of cash and stock totaling $109,515 during 2016 which is included in the net realized gain on investments in the statement of operations realized for the year ended December 31, 2016. All Alliqua shares received continue to be held by the Partnership at December 31, 2016, and are valued at SBA Guideline Value described previously.

Use of estimates in preparing financial statements

The preparation of financial statements in conformity with accounting practices prescribed by the SBA requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates. The most significant estimate is the estimate of the SBA guideline value of equity investments, which is subject to significant market risk and could differ materially from actual values realized.

Concentration of credit risk

The Company maintains its cash and cash equivalents at two financial institutions. The balances are insured by the Federal Deposit Insurance Corporation ("FDIC") up to $250,000. As of December 31, 2016 there was approximately $146,000 in excess of the insured limit at one financial institution.

1. Nature of business and significant accounting policies, continued

Cash and cash equivalents

The Partnership considers highly liquid investments with maturities of three months or less when purchased to be cash equivalents. At December 31, 2016 and 2015, cash equivalents consisted of investments in money market funds and a certificate of deposit.

Restricted cash

The Partnership has a certificate of deposit with a financial institution that is pledged as a guarantee for partnership portfolio company Archon Woodwork's financing needs. The balance of this certificate of deposit was $75,555 and $75,441 at December 31, 2016 and 2015, respectively.

Deferred charges

Costs associated with issuing participating securities are capitalized and amortized over the life of the respective securities. All deferred charges are fully amortized.

Partners' capital – allocation of gain and loss

Capital contributions are credited to the partners' capital accounts when received by the Partnership. Capital distributions are debited to the partners' capital accounts when paid. Income and losses are allocated to the partners' accounts in accordance with the Agreement as described below except as set forth in Note 3 regarding the SBA's preferred limited partnership interest.

Under the terms of the partnership agreement, net losses are allocated to the private partners in the following order: first, net losses are allocated to offset any net profits that have been allocated during the prior periods, and second, to the private partners in proportion to their partnership percentages. The Agreement also provides that at such time that the capital account of the general partner or any limited partner is reduced to an amount equal or less than the aggregate capital contributions of such private partners, then the balance of all net losses are allocated first to the capital accounts of the private partners until such time the capital accounts are reduced to zero, second to the preferred limited partnership interest until such time its capital account is reduced to zero, and finally, any balance is allocated to the General Partner. Net profits are first allocated in a manner to cure any allocation of previous losses as described above.

The preferred limited partnership interest is then entitled to an allocation of prioritized payments and profit participation. The preferred limited partnership interest entitles the SBA, prior to any allocation of income to the General Partner and limited partners, to receive payments from the Partnership for all cumulative "earmarked profits," as defined, earned by the Partnership up to an amount determined by applying a specific rate of interest to each tranche of capital contributed by the SBA, referred to as "prioritized payments."

1. Nature of business and significant accounting policies, continued

Partners' capital – allocation of gain and loss, continued

Prioritized payments are only due and payable upon the Partnership obtaining cumulative earmarked profits. The balance of any net profits is then allocated 80% to the limited partners pro rata according to their respective partnership percentages and 20% to the General Partner.

Distributions to partners, other than tax distributions, are first made to the preferred limited partnership interest as described in Note 3. Next, distributions are generally made to the private partners in an amount equal to reimburse each private partner for the expenses, costs and losses associated with disposed securities and securities in which the value is less than original cost. Thereafter, distributions are made 80% to the private partners pro rata according to their respective partnership percentages and 20% to the General Partner. Certain distributions to the General Partner are restricted until final dissolution of the Partnership.

Revenue recognition

Interest income is recorded on the accrual basis. Accrual of interest is ceased when, in the judgment of management, the collectability of such income is doubtful. A reserve for loss is established to the extent there is doubt as to the collection of the amounts previously accrued. Dividend income is recognized on the date the dividend is declared.

Amounts reported as realized gains or losses on investments are measured by the difference between the net proceeds of sale or write-off and the cost basis of the investment on the specific identification method, without regard to unrealized gains and losses. The cost of securities that have, in the General Partner's judgment, become worthless, are written off and reported as realized losses.

In conjunction with the investment process, the Partnership negotiates nonrefundable processing fees with many companies in which it invests. These fees are compensation for time and effort of the investment advisory personnel and for reimbursement of expenses related to the due diligence. These fees are recognized as income when received.

Unrealized appreciation of investments

Unrealized gains (losses) on securities held results from the valuation of investments by the General Partner. Unrealized appreciation is recognized for valuations above cost and unrealized depreciation is recognized for valuations below cost. Unrealized gains or losses are the aggregate amounts obtained by summing the unrealized appreciation or depreciation of all investments, net of any estimated future income tax effects. Such changes are recorded directly in the partners' capital account, unrealized appreciation of investments, in the Statement of Financial Position.

Income taxes

The Partnership, with the consent of its partners, has elected to be taxed under sections of the federal and state income tax law as a Partnership. As a result of this election, no income taxes are paid by the Partnership. Instead, the Partners separately pay tax on their pro rata allocation of the Partnership's income, deductions, losses and credits.

1. Nature of business and significant accounting policies, continued

Subsequent events

Management has evaluated subsequent events through February 16, 2017, the date the financial statements were available to be issued.

2. Deferred financing costs

As of December 31, 2016 and 2015, all SBA leverage commitments have expired with total SBA leverage funded of $31,055,000. The Partnership has issued participating securities in the form of a Preferred Limited Partnership interest to the SBA (defined as "leverage" in 13 CFR 107.50). As of December 31, 2016 and 2015, the Partnership had paid $1,148,149 in aggregate fees to the SBA related to leverage, which are amortized on a straight-line basis over five years. There were no additional commitment or leverage fees paid to the SBA for the years ended December 31, 2016 and 2015. As of December 31, 2016 and 2015 the fees have been fully amortized and there was no amortization expense recorded for the years ended December 31, 2016 and 2015.

3. SBA participating securities

The Partnership had issued participating securities to the SBA in the form of a Preferred Limited Partnership interest. The SBA shared in the Partnership's net profits as a Preferred Limited Partner and earned interest on participating securities that had been issued. Amounts earned by the SBA related to the issuance of participating securities (earned prioritized payments, earned adjustments and earned charges) were due to the SBA only when the Partnership had cumulative earmarked profits as defined in the SBIC Act. The SBA has fully funded their $31,055,000 commitment to the partnership. During 2016, the Company redeemed the remaining outstanding SBA leverage totaling $4,058,547. Additionally, as a result of redeeming all outstanding leverage, the Partnership made the final earned prioritized payment to the SBA during 2016.

3. SBA participating securities, continued

The following is a table of leverage commitments funded and redemptions, showing no outstanding leverage as of December 31, 2016:

Leverage Pooling Date	Maturity Date	SBA Leverage Funded	SBA Leverage Redemptions	Outstanding SBA Leverage	Interest Rate
2/27/2002	2/1/2012	$ 4,050,000	$ (4,050,000)	$ -	7.03%
8/28/2002	8/1/2012	1,750,000	(1,750,000)	-	6.20%
2/26/2003	2/1/2013	2,925,000	(2,925,000)	-	5.52%
8/27/2003	8/1/2013	1,820,000	(1,820,000)	-	6.14%
2/25/2004	2/1/2014	2,455,000	(2,455,000)	-	5.50%
2/25/2004	2/1/2014	300,000	(300,000)	-	5.88%
8/25/2004	8/1/2014	2,100,000	(2,100,000)	-	6.13%
2/23/2005	2/1/2015	2,730,000	(2,730,000)	-	6.01%
8/24/2005	8/1/2015	3,980,000	(3,980,000)	-	6.32%
2/22/2006	2/1/2016	1,655,000	(1,655,000)	-	6.78%
2/22/2006	2/1/2016	1,380,000	(1,380,000)	-	6.86%
8/23/2006	8/1/2016	1,100,000	(1,100,000)	-	7.14%
8/22/2007	8/1/2017	750,000	(750,000)	-	7.24%
2/27/2008	2/1/2018	2,000,000	(2,000,000)	-	7.36%
8/27/2008	8/1/2018	2,060,000	(2,060,000)	-	7.40%
		$ 31,055,000	$(31,055,000)	$ -	

Interest expense was recorded when earned based on a calculation performed annually comparing cumulative earmarked profits to cumulative distributions to the SBA. Based on this calculation, $174,725 and $299,412 was expensed as earned prioritized payments during the years ended December 31, 2016 and 2015, respectively. In addition, $-0- and $299,412 was included as SBA prioritized payments payable in the Statement of Financial Position at December 31, 2016 and 2015, respectively.

The leverage with the SBA represented a preferred partnership interest. The preferred limited partnership interest entitled the SBA, prior to any allocation of income to the general partner and private limited partners (collectively, the private partners), to receive payments from the Partnership from all cumulative "earmarked profits" earned by the Partnership up to an amount determined by applying a specified rate of interest to each tranche of capital contributed by the SBA, referred to as "prioritized payments". Prioritized payments were only due and payable upon the Partnership obtaining cumulative earmarked profits. Through December 31, 2016 and 2015, the Partnership has paid the SBA $13,183,908 and $12,709,771, respectively, in priority yield and $1,565,127 in profit participation. Interest accrues on the amount of unpaid prioritized payments at a floating rate equal to the average trust certificate rate. As of December 31, 2016 and 2015, the Partnership's earned prioritized payment balance accrued was $-0- and $299,412, respectively. The SBA was entitled to an allocation of the profits generated by the Partnership in excess of the prioritized payments up to a maximum specified allocation percentage. Further, the SBA did not receive an allocation of any losses generated by the Partnership until such time as the private partners' capital accounts are reduced to zero. The private partners receive allocations of profit and loss as described in Note 1.

3. SBA participating securities, continued

The Partnership tracks prioritized payments, adjustments and changes using three accounts:

1. An accumulation account, a memorandum account representing accumulated prioritized payments, unearned adjustments and unearned charges.

2. A distribution account, a liability account reflecting the amount currently payable to the SBA representing unpaid earned prioritized payments, earned adjustments and earned charges. The Partnership is required to distribute the balance in its distribution account annually.

3. An earned payments account, a memorandum account to which the amounts added to the distribution account balance are accumulated and is the cumulative total of all amounts payable to the SBA. The earned payments account balance represents the total of both paid and unpaid earned prioritized payments, earned adjustments and earned charges.

On redemption, the Partnership was required to pay the redemption price and any unpaid earned prioritized payments, earned adjustments and earned charges. At redemption in 2016, these charges totaled $174,725 and were paid in full.

After redemption, the Partnership will continue to calculate amounts payable to the SBA for profit participation for as long as assets are identified as being purchased with proceeds from SBA participating securities.

A summary of the Partnership's participating securities and activity in the Partnership's accumulation account, distribution account and earned payments account are as follows:

	Prioritized Payments	Charges	Adjustments	Total
Accumulation account,				
January 1, 2015	$ -	$ -	$ -	$ -
Add: Total prioritized payments	240,401	-	-	240,401
Add: Total charges	-	59,011	-	59,011
Add: Total adjustments	-	-	-	-
Less: Earned prioritized payments, charges and adjustments	(240,401)	(59,011)	-	(299,412)
December 31, 2015	-	-	-	-
Add: Total prioritized payments	140,289	-	-	140,289
Add: Total charges	-	34,436	-	34,436
Add: Total adjustments	-	-	-	-
Less: Earned prioritized payments, charges and adjustments	(140,289)	(34,436)	-	(174,725)
Accumulation account, December 31, 2016	$ -	$ -	$ -	$ -

3. SBA participating securities, continued

Distribution account,				
January 1, 2015	$ 60,758	$ 14,916	$ 5,823	$ 81,497
Add: Earned prioritized payments, charges and adjustments	240,401	59,011	(966)	298,446
Less: Distributions paid	(60,758)	(14,916)	(4,857)	(80,531)
December 31, 2015	240,401	59,011	-	299,412
Add: Earned prioritized payments, charges and adjustments	140,289	34,436	-	174,725
Less: Distributions paid	(380,690)	(93,447)	-	(474,137)
Distribution account, December 31, 2016	$ -	$ -	$ -	$ -

Earned payments account,	
January 1, 2015	$ 12,709,771
Add: Earned Prioritized payments	299,412
December 31, 2015	13,009,183
Add: Earned Prioritized payments	174,725
Earned payments account, December 31, 2016	$ 13,183,908

4. Management agreement and related party transactions

The General Partner has contracted with AAVIN Equity Advisors, LLC ("AAVIN") to manage the Partnership's activities. Under the terms of the management agreement ("agreement"), AAVIN provides essentially all of the management and administrative services required by the Partnership. The agreement expires upon termination of the Partnership. The management fee is limited to 2.5% of the Partnership's combined capital (as defined in 3 CFR 107), plus $125,000 when aggregate combined capital is less than $20,000,000. SBA rules also require that fees received under 13 CFR 107.860 of the SBA regulations (loan application or closing fees) must be paid directly to the SBIC fund or treated as an offset to management fees. No such fees were generated during the years ended December 31, 2016 and 2015. Also, pursuant to the agreement, other fees received by the General Partner from any portfolio company reduce eligible management fees. During the years ended December 31, 2016 and 2015, management fees expensed to AAVIN totaled $198,326 (net of $21,687 in fees) and $257,626 (net of $28,916 in fees), respectively. Management fees are net of consulting fees paid to AAVIN by a portfolio company. Accrued management fees of $191,091 and $242,765 were payable to AAVIN at December 31, 2016 and 2015, respectively.

Three of the limited partners of the Partnership are also members of the General Partner. One of the members of the General Partner owns 100% of AAVIN Equity Advisors, LLC.

5. SBA compliance

The SBA requires the Partnership to calculate a quarterly capital impairment ratio and notify the SBA if impairment exists. As of December 31, 2016 and 2015, the fund was in compliance with its' permitted capital impairment threshold.

* * * * *

SUPPLEMENTARY INFORMATION

AAVIN EQUITY PARTNERS I, LP
SCHEDULE OF INVESTMENTS
December 31, 2016

Company	Security	SBA Guideline Value	Cost
Manufacturing			
Archon Woodworks, Inc. (F/k/a Hoffco)			
Cabinet manufacturing			
Wood Lake, MN	1,000 shares Class C Preferred	$ -	$ 100,000
		-	100,000
Medical			
Alliqua BioMedical, Inc.			
Ultrasonic Wound Care			
Eden Prairie, MN	26,562 shares of common stock	16,205	18,962
		16,205	18,962
Retail			
Coolibar, Inc.			
Sun-protection clothing	Indemnification escrow	299,250	-
Minneapolis, MN	Administrative expense escrow	9,974	-
		309,224	-
	Totals	$ 325,429	$ 118,962

AAVIN EQUITY PARTNERS I, LP
SCHEDULE OF INVESTMENTS
December 31, 2015

Company	Security	SBA Guideline Value	Cost
Retail			
America's Power Sports, Inc.			
Power sport equipment	2,175.403 shares of Series B Preferred Stock	$ 2,175,403	$ 2,141,105
Brentwood, TN	203,520 shares of Common Stock	-	203,520
		2,175,403	2,344,625
Coolibar, Inc.			
Sun-protection clothing	9,433 shares of Series D Cumulative Convertible Participating Preferred Stock	4,136,898	2,358,240
Minneapolis, MN	6,654 shares of Series E Cumulative Convertible Participating Preferred Stock	1,043,920	595,084
		5,180,818	2,953,324
		7,356,221	5,297,949
Manufacturing			
Archon Woodworks, Inc. (F/k/a Hoffco)			
Cabinet manufacturing	18,289 shares of Series B Preferred	824,525	1,008,627
Wood Lake, MN	1,000 shares Class C Preferred	81,747	100,000
		906,272	1,108,627
	Totals	$ 8,262,493	$ 6,406,576

AAVIN Equity Partners I, L.P.

Investment Valuation Report

December 31, 2016

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

Investment Date: December 1st, 2004

AAVIN Principal: Kirk Kaalberg, Board Member

	Outstanding	Fully Diluted
Equity Ownership:	15.38%	15.38%

	Valuation 12/31/2016	Valuation 6/30/2016	Change	Cost 12/31/2016
Class C Preferred	$0	$100,000	(100,000)	$100,000
	$0	$100,000	($100,000)	$100,000

Equity Valuation:	$ 0	Enterprise Valuation:	$ 1,197,000

Valuation

Due to the poor financial performance of the company we have written the investment value to zero.

Preference Discussion & Liquidation Waterfall

In any liquidation all series of preferred stock issued by the company must be redeemed and dividends paid prior to any proceeds being distributed to common interests. Archon has three series of preferred, A, B and C.

Class C 8% Cumulative Preferred Stock is the most senior. Class C is entitled upon liquidation the first $10 million of distributable proceeds and then 2/3's of any other distributions in excess of $10 million.

After the liquidation payments to Class C the Class B 8% Cumulative Preferred Stock is next in priority. Class B shall receive an amount equal to its stated value plus accrued dividends out of 1/3 of all distributions made upon liquidation after the first $10 million. The initial total stated value of Class B is $5,110,001.01 to which accumulated dividends at 8% would be added.

After the liquidation payments to Class B the Class A 8% Cumulative Preferred Stock is next in priority. Class A shall receive an amount equal to its stated value plus accrued dividends out of 1/3 of all distributions made upon liquidation after the first $10 million and amounts paid to class B shareholders. The initial total stated value of Class A is $3,542,113.00 to which accumulated dividends at 8% would be added.

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

After all liquidation payments to Class A then common interest shall receive 1/3 of all remaining proceeds to be distributed.

Business Description

On December 17, 2013, Hoffco, Inc. changed its name to Archon Woodworks, Inc. ("Archon" or the "Company"), is a designer and manufacturer of specialty wood components sold to kitchen cabinet makers and wood office furniture manufacturers. Archon is an innovator in the specialty kitchen cabinet niche with strong customer relations and a reputation for high-quality products and service.

Archon pioneered the idea of selling kitchen accessories to cabinetmakers over 22 years ago. Today, Archon sells over 4,300 products in 43 states and continues to provide innovative, short-run components to the industry's largest kitchen cabinet makers. Archon's top selling products include patented Reverse-A-Rack custom storage systems, appliance garages, patented tambour guides, arched valances, and pantry swing shelves. Archon owns the KitchenAire@ trademark and markets a line of premium kitchen ventilators under this widely recognized brand. The Company is located in Wood Lake, Minnesota, approximately 120 miles southwest of Minneapolis.

In December 2005, Archon purchased Valley Oak cabinets of Omaha, Nebraska, for a total of $3,543,000 from Barry Kolterman the sole owner of Valley Oak. The purchase price was approximately 3 times EBITDA. Valley Oak manufactures and sells kitchen cabinet doors to the home remodeling industry.

Financing

On December 1, 2004, AAVIN Equity Partners I, L.P. ("AEP1") purchased 9,388.88 shares of Redeemable Preferred Stock for $938,888 and $594,444 in a Subordinated Note with a five-year term. The Subordinated Note pays 11% interest currently and 8% PIK. The Preferred Stock has an 8% dividend rate. In addition, AEP1 purchased 3,355.86 shares of Common Stock of the Company for $3,335.86.

On December 1, 2005, AEP1 purchased an additional 3,967.13 shares of Redeemable Preferred Stock for $396,713, 3,355.86 share of Common Stock for $3,335.86 and a $51,942 Subordinated Note. The Subordinated Note pays 11% interest currently and 8% PIK. The Preferred Stock has an 8% dividend rate. This was part of a $1.25 million financing by the existing investors to fund the $3.5 million purchase of Valley Oak Cabinets of Omaha, Nebraska.

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

On June 27, 2008, AEP1 purchased a $222,918 Subordinated Note as part of an $800,000 financing by current investors. This Note carries an interest rate of 18%, with 9% currently paid and 9% PIK. This funding was done in conjunction with a restructuring of both the bank and the Kolterman debt.

On December 19, 2008, AEP1 purchase a $139,324 Subordinated Note as part of a $500,000 financing by current investors. This funding had been expected to fund new marketing efforts. However due to deteriorating market conditions most of these dollars will be used to improve the Company's balance sheet and projected cash availability.

On June 30, 2011, AEP1's notes originating in 2004, June 2008 and December 2008 along with the associated accumulated interest were converted to a Series B Preferred Stock. The total dollars, $1,838,916.30 (notes of $1,008,627.23 plus interest of $830,289.07) were converted to 18,289 shares, or 19.241% of the Series B equity.

On June 30, 2011, AEP1 deposited $75,000 in M & I Bank, Minneapolis. This amount was AEP1's portion of a $300,000 pledge that was necessary for M & I to continue the loan agreements that were expiring on or around June 30, 2011.

On December 17, 2013, AEP1 purchased $100,000 (1,000 shares) of Class C 8% Cumulative Preferred Stock. The total financing was $650,000 and was provided by insiders. Class C is entitled upon liquidation the first $10 million of distributable proceeds and then 2/3's of any other distributions in excess of $10 million. AEP1 owns 15.38% of the Class C.

On December 21, 2016, AAVIN surrendered it's Series A & B preferred and common stock to the Company.

Current Status

The company has been out of compliance with its bank loan covenants. We do not anticipate the bank taking adverse action but it is possible. In the near future, i.e. months we expect the company to move back in compliance and to begin improving the timeliness of its payments to vendors.

Based on the current enterprise valuation of the company and the waterfall analysis the Common Stock and Series A & B preferred are worthless and it is not expected that any of the cost basis will ever be realized. AAVIN surrendered these securities back to the company on December 21, 2016.

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

The company does budget for improving financial performance, however it has not historically been able to perform to budget and thus our recent decisions regarding valuation and surrendering securities

Keys to Success

- Home Depot relationship
- Capturing and delivering high margin product

Exit Strategy

The most likely exit strategy is the sale to a strategic buyer, executing a roll-up strategy and or looking to secure excess manufacturing capacity.

AAVIN Equity Partners I, L.P.

Investment Valuation Report

December 31, 2016

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

Historical Financial Performance

Income Statement ($000) – For the historical years ended December 31st (unless otherwise noted.)

	For the FYE ended 12/31										YTD	Budget
	2006	**2007**	**2008**	**2009**	**2010**	**2011**	**2012**	**2013**	**2014**	**2015**	11/30/16	YTD
Sales	21,261	19,802	15,584	11,419	13,054	12,775	12,296	13,138	13,954	13,414	11,530	13,645
COGS	17,370	15,740	12,453	9,379	10,602	10,625	10,418	10,262	12,477	11,628	10,129	11,739
Gross Profit	3,891	4,063	3,132	2,040	2,452	2,150	1,878	2,876	1,477	1,785	1,401	1,906
Gross Margin	*18.3%*	*20.5%*	*20.1%*	*17.9%*	*18.8%*	*16.8%*	*15.3%*	*21.9%*	*10.6%*	*13.3%*	*12.2%*	*14.0%*
SG&A	3,084	3,319	2,608	2,024	2,149	2,164	1,842	4,915	1,702	1,838	1,520	1,543
EBIT	807	743	523	16	303	(14)	36	(2,039)	(225)	(53)	(119)	363
EBIT Margin	*3.8%*	*3.8%*	*3.4%*	*0.1%*	*2.3%*	*-0.1%*	*0.3%*	*-15.5%*	*-1.6%*	*-0.4%*	*-1.0%*	*2.7%*
Depreciation/Int	280	607	555	702	793	926	891	1,465	558	734	555	579
EBITDA	1,087	1,403	1,192	718	1,096	912	927	(574)	333	681	436	942
EBITDA Margin	*5.1%*	*7.1%*	*7.6%*	*6.3%*	*8.4%*	*7.1%*	*7.5%*	*-4.4%*	*2.4%*	*5.1%*	*3.8%*	*6.9%*

Balance Sheet ($000) as of November 30, 2016			
Cash	($44)	Accounts Payable	$1,511
A/R, net	831	Accrued Liabilities	351
Inventory	1,124	Line of Credit	1,457
Other Current Assets	3	Current Portion LT Debt	17
Total Current Assets	1,914	Total Current Liabilities	3,336
PP&E, net	2,801	LT Debt	1,180
Other Assets, net	3,892	Ownership Equity	4,091
Total Assets	$8,607	Total Liabilities & Equity	$8,607

Portfolio Company:	**Archon Woodworks, Inc. (fka Hoffco Acquisition Corporation and Hoffco, Inc.)**

Capitalization & Equity Schedule

Presented below is the Company's equity ownership structure presented across the different classes of units.

Investor	Common	%	Series A	%	Series B	%	Series C	%
Lewis & Clark Private Equities, LP	3,060	20%	6,089	23%	16,382	23%	1,340	21%
Invest Northwest, LP	1,507	10%	2,999	11%	8,069	11%	660	10%
AAVIN Equity Partners I, LP *	6,712	43%	13,356	51%	18,289	26%	1,000	15%
Federal Street Holdings LLC	1,072	7%	2,134	8%	26,344	37%	2,500	38%
Wood Lake SIGI, LLC	1,541	10%	877	3%	759	1%		0%
Fieldston IV, LLC	1,541	10%	877	3%	759	1%		0%
John Fruhwirth							600	9%
Other							400	6%
	15,433	100%	26,333	100%	70,602	100%	6,500	100%

* AAVIN surrendered its Preferred Series A& B and common shares to the Company as of December 21,2016.

Board of Directors

Name	Position/Affiliation
John Snow	Chairman/Boston Projects
Steve Leese	Director / Fieldston
John Fruhwirth	Director/CEO
David Schroder	Director / Lewis & Clark
Kirk Kaalberg	Director / AEP1

Company Contact Information

Name & Location	Principal Officer
Archon Woodworks, Inc. North State Highway 274 Wood Lake, MN 56297 Voice: (507) 485-3131 Fax: (507) 485-3533	John Fruhwirth CEO
7050 North 97th Plaza Circle Omaha, Nebraska 68122 Phone: (402)573-9244	